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Case Number: 23SMCV00160 Hearing Date: July 2, 2026 Dept: P

Tentative

Ruling

Vadim

Shulman v. Dennis John Hawk, Case No. 23SMCV00160

Defendant's

Demurrer

Hearing:

July 2, 2026

Background

In 2023,

Plaintiff Vadim Shulman ("Shulman") sued Defendant Dennis John Hawk ("Hawk"), his former attorney, alleging that Hawk improperly retained overpaid fees, mismanaged the sale of Shulman's Santa Monica home ("the Property"); and stole Shulman's personal property, including a valuable wine collection. (First Amended Complaint, ¶¶ 25, 29.) Shulman's First Amended Complaint ("FAC") alleges eighteen theories of liability including theft, conversion, negligence, and legal malpractice.

On January

11, 2023, Shulman filed the initial complaint. On September 26, 2023, Plaintiff filed the FAC. Between August 2024 and February 2025, neither party appeared for three scheduled Case Management Conferences. On February 24, 2025, the Court dismissed this case without prejudice for the parties' failure to appear.

On February 26, 2025, Shulman filed a substitution of attorney and successfully moved for reconsideration of the dismissal. In May 1, 2025, Shulman issued summons on the FAC. On November 14, 2025, the Court denied Defendant's Motion to Quash Service for improper service of the FAC and gave Defendant 45 days to respond to the FAC. On January 12, 2026, Hawk filed an automatic extension. On February 13, 2026, Hawk filed this demurrer. On June 22, 2026, Shulman filed opposition. On June 25, 2026, Hawk replied.

Defendant

demurs to each of Shulman's eighteen causes of action on the grounds that they are barred by the applicable statutes of limitations or by laches, and because the FAC fails to state a claim. In opposition, Shulman argues that the FAC states a claim on each cause of action. In reply, Hawk argues that Shulman's claims are time-barred and fail to provide sufficient detail.

Governing Law

In a demurrer proceeding, the defects in the complaint must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

Before filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

Procedure

a. Meet and Confer

Hawk's

attorney sent Shulman's attorney two meet and confer emails, and two follow-up emails requesting a substantive response to his concerns. (Bryan Decl., ¶¶ 3-4.) Shulman failed to respond to Hawk's concerns about the sufficiency of the FAC. (Ibid.) Though the parties did not meet and confer as required, failure to meet and confer is not grounds for overruling this demurrer. (Code Civ. Proc. § 430.41.)

b. Untimely Opposition

In

reply, Hawk contends that the Court should not consider Shulman's opposition to this demurrer because it is untimely. Opposition to Hawk's demurrer was due nine court days before this hearing, on June 18, 2026. Shulman filed his opposition on June 22, 2026. Shulman's opposition was filed only one court-day late because the Court was closed on June 19, 2026, in observation of Juneteenth. The Court will consider Shulman's untimely opposition because Hawk was able to prepare and file a reply by June 25, 2026, and because the delay was minimal.

Demurrer

a.

Statute of limitations

Hawk argues

that this entire action is barred by the statute of limitations because the relationship between the parties is alleged to have begun in 2014 and because Shulman's allegation that the events occurred "within the statutory period" is conclusory and insufficiently specific. (Demurrer, pp. 12-13.) In opposition, Shulman argues that the FAC alleges a pattern of misconduct, beginning in 2014 that continued until the FAC was filed. (Opposition, p. 3.) Shulman also argues that the doctrine of continuous representation and the discovery rule toll the statute of limitations (Id. at pp. 5-6.) In reply, Hawk argues that Shulman's

claims are stale because Shulman alleges that he retained Hawk in 2014. (Reply, p. 4.)

A demurrer

based on an affirmative defense, such as the statute of limitations, will be sustained only where the action is necessarily barred by the affirmative defense on the face of the complaint. (Engel v. Pech (2023) 95 Cal.App.5th 1227.) If a claim appears to be barred by the statute of limitations, a plaintiff may plead delayed accrual of a claim under the discovery rule. "In order to rely on the discovery rule for delayed accrual of a cause of action 'a plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.' [citation] In assessing the sufficiency of the allegations of delayed discovery the court places the burden on the plaintiff to 'show diligence'; 'conclusory allegations will not withstand demurrer.'" (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 808, citing McKelvey v. Boeing North American, Inc. (1999) 74 Cal.App.4th 151, 160.)

Shulman

alleges that he purchased the home in October 2014 and decided to sell it at some time before October 2021. (FAC, ¶ 7.) Shulman alleges that he retained Hawk as his attorney "at a point in time while Mr. Shulman owned the Home," and that Hawk took \$10,000 per month as a fee for maintaining the Property, beginning in 2014. (Id. at ¶¶ 8, 9.) Shulman alleges that the representation lasted "until a point in time within the applicable limitations period." (Ibid.) Shulman alleges no other specific dates. Shulman's allegation that he purchased the Property in 2014 and that Hawk began taking a fee for maintaining the property in 2014 does not necessarily bar any of Shulman's claims because his claims arise out of Hawk's actions over a long period of time, and out of Hawk's actions during and after the Property was sold, at some point after October 2021. (See FAC, ¶ 11 ["Mr. Hawk continued his representation of Mr. Shulman regarding the specific subject matters alleged herein within until a point in time within the applicable statute of limitations prior to the filing of this suit."].) Though Shulman alleges when the representation began, he does not allege any dates that necessarily bar his claims. The statute of limitations may be a viable defense to Shulman's claims on a motion for summary judgment, but must be overruled on a demurrer.

Hawk's

demurrer based on the statute of limitations is OVERRULED.

b.

Laches

Hawk

argues that the FAC's claims are barred by laches because they were brought 9 years after the attorney-client relationship began in 2014. (Demurrer, p. 12.)

In opposition, Shulman argues that grounds for a laches demurrer do not appear on the face of the FAC. (Opposition, p. 9.) In reply, Hawk argues that Shulman's claims are stale. (Reply, p. 4.)

A demurrer

based on laches can be sustained "only if the complaint shows on its face unreasonable delay plus prejudice or acquiescence," shown by a significant delay after knowledge of the facts without explanation for the delay. (Conti v. Board of Civil Service Comm'rs (1969) 1 Cal.3d 351, 362, citing Zakaessian v. Zakaessian (1945) 70 Cal.App.2d 721, 726–27.)

Taking

Shulman's allegations as true, the FAC does not show any unreasonable delay in filing this action. Shulman alleges that beginning in 2014, Hawk took \$10,000 per month from his client trust account as a fee, that Shulman did not agree to this fee amount, and that he did not discover that Hawk was taking the money until some point "within the applicable statute of limitations." (FAC, ¶¶ 9, 11.) Shulman also alleges that Hawk never withdrew from representing Shulman formally or communicated his withdrawal in any way. (Id. at ¶ 11.) Though Shulman alleges that Hawk began taking a fee in 2014, none of Shulman's allegations show a significant delay in filing this action after Shulman became aware of Hawk's alleged misconduct.

Hawk's

demurrer based on laches is OVERRULED.

c.

Breach

of contract

Hawk

argues that the FAC fails to state a claim for breach of contract because it does not set forth the terms of the contract or specify what terms were oral and what terms were implied. (Demurrer, p. 15.) In opposition, Shulman argues that the FAC alleges that Hawk agreed to maintain and oversee the home and properly account for expenses and property. (Opposition, p. 9.) Shulman argues that the fact that some terms were oral and others were implied does not make the FAC defective. (Ibid.) In reply, Hawk argues that Shulman's breach of contract claim is deficient because the contract was allegedly created in 2014 and because the complaint fails to specify if the alleged contract was oral or implied. (Reply, p. 6.)

A

complaint properly pleads breach of contract when it states facts demonstrating (1) the existence of a contract; (2) plaintiffs' performance or excuse for nonperformance; (3) defendants' breach (or anticipatory breach); and (4) resulting damage. (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

First, the

statute of limitations does not bar an action on an oral or implied contract if the contract was created more than two years before the action was filed. The relevant date is the date of the breach or the date that the plaintiff became aware of the defendant's wrongdoing. (Seelenfreund v. Terminix of Northern Cal., Inc. (1978) 84 Cal.App.3d 133, 136 ["typically the cause of action will accrue and the limitations period will start running upon the negligent breach of the oral contract"].) Shulman alleges that he "engaged MR. Hawk as his attorney for certain business and personal matters," and that Hawk began taking a fee for that work in 2014. (FAC, ¶¶ 8, 9.) Shulman alleges that "as part of the agreement, Mr. Hawk . . . agreed to help Mr. Shulman by arranging and overseeing the maintenance of the Home. Second, Mr. Hawk promised to help sell the home. Third, Mr. Hawk promised that, once the Home was sold, he would safeguard certain personal property located in the Home and would arrange and contract for its storage. (FAC, ¶ 10.) "[A] plaintiff may plead the legal effect of the contract rather than its precise language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 199.) Here, Shulman's allegations that Hawk agreed to maintain, sell, and arrange for the storage of Shulman's personal property are sufficiently specific to allege the legal effect of the oral or implied contract.

The FAC

claims the remaining elements of breach of contract. Shulman also alleges that

he performed all of his obligations under the contract, that Hawk breached the contract by failing to repay overpaid funds and refusing to return the missing property, and that Shulman was damaged. (FAC, ¶¶ 40, 41, 43.)

Hawk's
demurrer to Sulman's breach of contract claim is OVERRULED.

d.
Breach
of the covenant of good faith and fair dealing

Hawk
demurs to Shulman's claim for breach of the covenant of good faith and fair dealing on the grounds that the allegations are insufficient to put him on notice of the charges against him. (Demurrer, p. 15.) In Opposition, Shulman argues that the FAC states a claim for breach of the implied covenant of good faith and fair dealing by willfully failing to perform as agreed, lying, and harassing Shulman. (Opposition, p. 10.) In reply, Hawk argues that the FAC's claims are conclusory and insufficiently specific. (Reply, p. 8.)

Breach of
the implied covenant of good faith and fair dealing occurs where there is a contractual relationship, an implied duty, breach of that duty, and causation of damages. ((E.g., *Smith v. San Francisco* (1990) 225 Cal.App.3d 38, 49. See also *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395 ["allegations which assert such a claim must show that the conduct of the defendant...demonstrates a failure or refusal to discharge contractual responsibilities, prompted ... by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement. Just what conduct will meet this criteria must be determined on a case by case basis...."].))

Though the
FAC's claims are not uncertain, they are, in some respects, very general. On the one hand, the FAC contains detailed allegations that Hawk breached the implied covenant of good faith and fair dealing by refusing to perform the contract as originally intended, refusing to account for or repay the overpayment, and refusing to return or account for the missing property. (FAC,

¶ 46.) On the other hand, Shulman also alleges that “Defendant has further breached the covenant by invoking alleged rights under the Parties’ Contract dishonestly as a pretext for other reasons which were not a part of the Parties’ Contract, conjuring up a pretend dispute, asserting an interpretation of the Parties’ Contract contrary to his own understanding. . .” (FAC, ¶ 48.) Shulman provides no detail about Hawk’s allegedly dishonest invocation of “rights under the Parties’ Contract,” or the “pretend dispute.” These allegations do not show that Hawk’s failure to perform was prompted by a “conscious and deliberate act.” Put another way, the FAC’s allegations are too vague or general to show how or why Hawk’s actions exceed the bounds of an ordinary contract claim and constitute a breach of the implied covenant of good faith and fair dealing.

Hawk’s
demurrer to Shulman’s claim for breach of the covenant of good faith and fair dealing is SUSTAINED.

e.
Breach
of fiduciary duty

Hawk
argues that Plaintiff’s claim for breach of fiduciary duty fails because it contains improper generalizations and does not state what acts constituted a breach of a fiduciary duty. (Demurrer, p. 16.) In opposition, Shulman argues that the FAC alleges that Hawk breached his fiduciary duties by refusing to account for or repay the overpaid funds and refusing to account for missing property. (Opposition, p. 10.) In reply, Hawk argues that the FAC’s claims are too general. (Reply, p. 8.)

A breach
of fiduciary duty occurs when there is (1) a fiduciary duty, (2) breach of the duty, and (3) damage caused by the breach. (Charnay v. Cobert, (2006) 145 Cal.App.4th 170, 182; Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.)

The
allegations that Hawk repeatedly acted against Shulman’s financial interests and against Shulman’s specific directives are sufficient to state a claim for breach of Hawk’s fiduciary duties as Shulman’s attorney and agent. (See FAC, ¶¶ 17, 23, 28.) For example, Shulman alleges that “Hawk breached [his] fiduciary

duties to Mr. Shulman, including [his] duties of loyalty, care, full disclosure, to account, and to put Mr. Shulman's interests ahead of [his] own." (FAC, ¶ 54.) Shulman alleges that Hawk pressured Shulman to sell the home for much less than what it was worth. (FAC, ¶ 17.) Shulman alleges that after Hawk sold the Home, he took the most valuable items in the home. (FAC, ¶ 23.) Shulman alleges that Hawk sold Shulman's wine collection against Shulman's express directive, at a grossly inadequate price and only passed along a fraction of the expected proceeds. (FAC, ¶¶ 28, 29.)

Hawk's demurrer to Shulman's claim for breach of fiduciary duty is **OVERRULED**.

f.

Fraudulent concealment

Hawk

argues that the FAC does not allege fraud with specificity. (Demurrer pp. 16-17.) In opposition, Shulman argues that his fraud claim is exempt from the strict pleading standard because only Hawk possesses full information about the facts at issue. (Opposition, p. 11.) In reply, Hawk argues that the FAC does not allege fraud with specificity. (Reply, p. 8.)

"The

well-known elements of a cause of action for fraud or concealment are: (1) a misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages." (Cadlo v. Owens-Illinois, Inc. (2004) 125 Cal.App.4th 513, 519-520.)

Plaintiffs

alleging fraud must describe, with particularity, the specific statements defendants made that constituted fraud, or facts defendants omitted that constitute alleged fraud. Pleadings must allege facts as to "how, when, where, to whom, and by what means the representations were tendered." (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73. Accord Wald v. Truspeed Motorcars, LLC (2010) 184 Cal.App.4th 378, 393; Morgan v. AT & T Wireless Services, Inc. (2009) 177 Cal.App.4th 1235, 1262. Cf. also Goldrich v. Natural Y Surgical Specialties, Inc. (1994) 25 Cal.App.4th 772, 783

["conclusory allegations offer no facts at all and it is impossible to determine what was said or by whom or in what manner."].)

The FAC's

description of the facts Hawk allegedly concealed is vague. Shulman alleges that Hawk intentionally concealed the fact that he would not abide by his agreement with Shulman and "made promises about material matters without any intention of performing them." (FAC, ¶ 58.) The FAC does not give any additional detail about what Hawk allegedly concealed or when he concealed it. It also does not specify which promises were allegedly fraudulent or when Hawk made these promises. The specifics of Hawk's alleged concealment and fraudulent misrepresentations cannot be facts entirely within Hawk's possession because they implicate discussions or conversations with Shulman where Hawk lied or failed to disclose something. Because the FAC does not describe what specific statements Shulman alleges were fraudulent, it fails to state a claim for fraud.

Hawk's

demurrer to Shulman's fraudulent concealment claim is SUSTAINED.

g.

Unfair,

unlawful, and fraudulent acts and practices in violation of Bus. & Prof.

Code § 17200

Hawk

argues that Shulman's claim for violation of the UCL fails because Shulman's fraud claims fail. (Demurrer, p. 16-17.) In opposition, Shulman argues that he states a claim for unfair business practices. (Opposition, p. 11.) In reply, Hawk argues that Shulman's claim under the UCL fails for the same reason his fraud claims fail. (Reply, p. 8.)

A

complaint states a cause of action for violating Bus. & Prof.

Code § 17200 if it states facts showing (1) a business practice; (2)

that is unfair, unlawful, or fraudulent; and (3) authorized remedy. ((Bus.

& Prof. Code § 17200; Paulus v. Bob Lynch Ford, Inc. (2006) 139

Cal.App.4th 659, 676. See also People ex rel. Dept. of Motor Vehicles v.

Cars 4 Causes (2006) 139 Cal.App.4th 1006, 1016 ["An 'unlawful'

practice requires violation of another statute, and a business practice may be

‘unfair’ even if not otherwise proscribed by statute as long as the practice is not expressly authorized by law.”] To have standing to sue, a plaintiff must suffer an injury in fact and have lost money. (Bus & Prof. Code § 17204.)

The FAC

states claims for breach of contract, breach of fiduciary duty, conversion, civil theft, and legal malpractice, all of which could constitute “unlawful” practices under the UCL. Shulman also alleges a monetary injury: he claims that he lost personal property, and approximately \$870,000 in overpaid attorneys’ fees. (FAC, ¶¶ 9, 23.)

Hawk’s

demurrer to Shulman’s claim for violation of the UCL is OVERRULED.

h.

Conversion

Hawk

argues that Shulman’s claim for conversion is deficient because it does not identify what personal property Shulman appropriated. (Demurrer, p. 17.) In opposition, Shulman argues that the FAC sufficiently alleges that Hawk took overpaid funds and the missing personal property in the Home when it was sold. (Id. at p. 12.) In reply, Hawk alleges that Shulman’s conversion claim is insufficiently specific. (Reply, p. 8.)

A

complaint states a claim for conversion where it alleges facts showing that defendant disposed of plaintiff’s property inconsistent with plaintiff’s rights and caused damages. (PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395, 397.)

Shulman

alleges that Hawk took Shulman’s personal property from the Home after it was sold and has wrongfully retained possession of the most valuable pieces of that property. (FAC, ¶ 23.)

Hawk’s

demurrer to Shulman’s conversion claim is OVERRULED.

i.

Unjust
enrichment

Hawk and

Shulman make substantially the same arguments on Shulman's claim for unjust enrichment as they do on Shulman's conversion claim. (Demurrer, p. 17; Opposition, p. 12; Reply, p. 9.)

Unjust

enrichment occurs when a defendant (1) receives a benefit, (2) retains the benefit wrongfully or unjustly, (3) at the expense of another. (Peterson v. Cellco Partnership (2008) 164 Cal.App.4th 1583, 1593.)

Unjust enrichment is a theory of recovery applicable to quasi-contract claims.

There is

no requirement that Shulman list the specific property he believes Hawk unjustly retained. Shulman alleges that Hawk retained Shulman's personal property, including expensive watches, gym equipment, diamond cufflinks, a massage chair, and a kayak; and retained money (the overpaid funds) against Shulman's wishes and at his expense. (FAC, ¶¶ 10, 25, 77, 78.)

Hawk's

demurrer to Shulman's unjust enrichment claim is **OVERRULED**.

j.

Civil
theft

Hawk and

Shulman make substantially the same arguments on Shulman's claim for unjust enrichment as they do on Shulman's conversion claim. (Demurrer, p. 17; Opposition, p. 12; Reply, p. 9.)

Civil

theft occurs where (1) property was stolen or obtained in a manner constituting theft; (2) defendant knew the property was so stolen or obtained; (3) defendant received or had possession of the stolen property. (Bell v. Feibush (2013) 212 Cal.App.4th 1041, 1049 [upholding civil liability under Penal Code section 496].)

Shulman

alleges that Hawk stole or carried away the overpayment, extorted funds, and missing property (described in FAC ¶ 25) and that Hawk had the stolen property. (FAC, ¶¶ 80-81.) Though the allegations in paragraphs 79-86 do not specifically describe the manner of the alleged theft, Shuman's general allegations in paragraphs 7-37 do.

Hawk's

demurrer to Shulman's civil theft claim is OVERRULED.

k.

Legal

malpractice

Hawk

argues that Shulman's legal malpractice claim is entirely conclusory. (Demurrer, p. 17.) In opposition, Shulman argues that the FAC alleges how Hawk breached his professional duties by failing to safeguard the Home, account for funds, and provide competent advice. (Opposition, p. 13.) In reply, Hawk argues that the FAC fails to describe specific acts or duties that constitute legal malpractice. (Reply, p. 9.)

A

complaint states a claim for legal malpractice where it alleges facts showing (1) that the attorney had a duty to act as other members of the profession possesses, (2) the attorney breached that duty, (3) that the breach caused the injury, and (4) actual loss or damage resulting from the negligence. (Landmark Screens, LLC v. Morgan, Lewis & Bockius, LLP (2010) 183 Cal.App.4th 238, 247-248.)

There is

no specificity requirement for legal malpractice. Shulman alleges that Hawk was his attorney at all relevant times. (FAC, ¶ 88.) Shulman alleges that he did not enter into a fee agreement with Hawk as required by Bus. & Prof. Code § 6148, but that Hawk nonetheless took \$10,000 per month as a fee for his services. (FAC, ¶¶ 8, 9.) These allegations alone constitute a breach of Hawk's professional duties. Shulman also alleges that Hawk retained overpaid fees, sold Shulman's property for less than it was worth, and improperly retained Shulman's personal property, all of which are breaches of an attorney's professional duties.

Hawk's

demurrer to Shulman's claim for legal malpractice is OVERRULED.

I.

Accounting

Hawk

argues that the FAC does not identify specific times at which the transactions occurred and argues that the transactions likely occurred outside the statute of limitations for an accounting. (Demurrer, p. 18.) In opposition, Shulman argues that the statute of limitations argument fails and that the FAC states a claim for an accounting. (Opposition, pp. 13-14.) In reply, Hawk argues that the FAC does not claim a relationship requiring an accounting exists or that a balance is owed. (Reply, pp. 9-10.)

A

complaint states a claim for an accounting if it alleges facts showing (1) the existence of a relationship requiring an accounting, (2) some unliquidated and unascertained balance is owed. (St. James Church of Christ Holiness v. Superior Court (1955) 135 Cal.App.2d 352, 359.)

The Court

addressed Hawk's arguments on the statute of limitations in subsections b and c, above. Shulman alleges a relationship requiring an accounting, his attorney-client relationship with Hawk, and that Hawk owes him money for overpaid fees. (FAC, ¶¶ 8-9.) The FAC states a claim for an accounting.

Hawk's

Demurrer to Shulman's accounting claim is OVERRULED.

m.

Negligence

Hawk

argues that Shulman's negligence claim is conclusory and does not identify the duties Hawk allegedly breached and does not state when the breaches occurred. (Demurrer, p. 18.) In opposition, Shulman argues that the FAC states a claim for negligence. (Opposition, p. 14.) In reply, Hawk argues that the claims are conclusory and vague. (Reply, p. 10.)

A

complaint states a cause of action for negligence where it alleges facts showing (1) the existence of a legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 318; Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.)

The FAC's

allegations under the eleventh cause of action subtitle on are conclusory. However, they incorporate Shulman's more detailed, general allegations in paragraphs 7-37. (See FAC, ¶¶ 95-98.) These allegations describe at least two legal duties: Hawk's duties to a client as Shulman's attorney, and his broader agency duties related to maintaining Shulman's property. (FAC, ¶ 8.) Shulman also alleges that Hawk breached these duties and caused damage by, among other things, not executing a formal retainer agreement, retaining overpaid fees, and taking Shulman's property. (FAC, ¶¶ 9, 10, 12.) The FAC states a claim for negligence.

Hawk's

demurrer to Shulman's negligence claim is **OVERRULED**.

n.

Embezzlement

Hawk

argues that there is no civil claim for embezzlement and that the FAC does not properly identify the allegedly embezzled property. (Demurrer, p. 18.) In opposition, Shulman argues that civil liability for embezzlement may be pursued as conversion, breach of fiduciary duty, or other, related theories. (Opposition, p. 14.) Shulman argues that the FAC properly states a claim for conversion and breach of fiduciary duty. (Ibid.) In reply, Hawk argues that Shulman's embezzlement claim does not properly identify the property involved, nor does it state when the alleged embezzlement occurred. (Reply, p. 10.)

Embezzlement

is "the fraudulent appropriation of property by a person to whom it has been intrusted." (Pen. Code § 503.) In the civil context, a claim for embezzlement is a claim for conversion with the intent to defraud. (Ferrick v. Santa Clara

University (2014) 231 Cal.App.4th 1337, 1347.) A complaint states a claim for conversion by embezzlement where it alleges facts showing (1) appropriation of property, (2) by one to whom property was entrusted; (3) fraudulent intent to deprive the rightful owner of possession temporarily or permanently; (4) the defendant does not honestly and in good faith believe that they are authorized to appropriate and use the property. (Ferrick v. Santa Clara Univ., supra, 231 Cal.App.4th at 1347. See also Hill v. Superior Court (1940) 16 Cal.2d 527, 530 [“Such an action is based upon the tort of embezzlement....”].)

As explained in subsection h, the FAC states a claim for conversion. However, Plaintiff’s allegations of fraudulent intent are confusing. Shulman alleges that Hawk “intentionally failed to disclose material facts to Mr. Shulman, to wit: that [Hawk] did not intend to live up to [his] duties at the time [he] entered into the agreement or agreements with Mr. Shulman.” (FAC, ¶ 58.) In the same paragraph, Shulman also alleges that “When [he] made these promises. . .[Hawk] intended to take Mr. Shulman’s money and property from him, and to actively conceal and cover up [his] wrongdoing.” (Ibid.) Though Shulman positions this intent allegation within conclusory statements about Hawk’s alleged concealment, the allegations that Hawk did not intend to fulfill his duties under the alleged agreement and intended to take Shulman’s money and property are sufficient to allege fraudulent intent in this context.

Hawk’s demurrer to Shulman’s embezzlement claim is OVERRULED.

o.
Negligent
misrepresentation

Hawk argues that Shulman’s negligent misrepresentation claim is vague and does not identify specific untrue statements and improperly references crimes and intentional torts. (Demurrer, p. 19.) In opposition, Shulman argues that his negligent misrepresentation claim is brought as an alternative to his fraud claim and that the FAC’s allegations are sufficient to state a claim. (Opposition, p. 15.) In reply, Hawk argues that the FAC’s allegations are improperly vague. (Reply, 10-11.)

Negligent

misrepresentation occurs when a defendant (1) makes an untrue statement; (2) that defendant believes to be true, (3) without reasonable ground for the belief, (4) with intent to induce Plaintiff's reliance on the representation; (5) plaintiff did rely, and (6) plaintiff was damaged. (*Melican v. Regents of Univ. of Cal.* (2007) 151 Cal.App.4th 168, 182.)

Shulman's

negligent misrepresentation claim shares a defect with his fraudulent concealment claim—Shulman does not allege what statements he believes were misrepresentations in any detail. Though it is not settled if claims for negligent misrepresentation require the same level of specificity at the pleading stage as fraud claims, Shulman's misrepresentation allegations are almost entirely conclusory. (See dissent, *B.L.M. v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 845.) For example, Shulman alleges repeatedly that Hawk misrepresented "material facts." (FAC, ¶¶ 60-61.) Detail-less allegations like this do not give Hawk notice of the statements Shulman is suing over and therefore do not state a claim for negligent misrepresentation.

Hawk's

demurrer to Shulman's negligent misrepresentation claim is SUSTAINED.

p.

Constructive

trust

Hawk

argues that the FAC does not sufficiently identify the property that Shulman seeks to establish a constructive trust over. (Demurrer, p. 19.) Shulman argues that since the FAC alleges that Hawk acquired the missing property through fraud, or mistake, a constructive trust is a permissible remedy. (Opposition, p. 15.) In reply, Hawk argues that the FAC does not describe the property sufficiently. (Reply, p. 11.)

"[A]

constructive trust may only be imposed where the following three conditions are satisfied: (1) the existence of a res (property or some interest in property); (2) the right of a complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party who is not entitled to it." (*Burlesci v. Petersen* (1998), 68 Cal. App. 4th 1062, 1069.) A

Constructive trust is an equitable remedy available to a plaintiff seeking recovery of property in any number of situations. (Olson v. Toy (1996) 46 Cal.App.4th 818, 823.) To state a claim for constructive trust, a plaintiff must state a claim for an underlying cause of action against the person possessing the property (the constructive trustee) that entitles plaintiff to the property at issue. (Michaelian v. State Comp. Ins. Fund (1996) 50 Cal.App.4th 1093, 1114; see also Burlesci v. Petersen (1998) 68 Cal.App.4th 1062, 1069 [holding that a plaintiff may seek a constructive trust against the involuntary trustee of property, the person or entity who gained possession of property by fraud or wrongful act].)

The FAC

describes Shulman's personal property and states a claim for civil theft and conversion, both of which can form the basis for a constructive trust claim. (FAC, ¶ 25; subsections h and j, supra.)

Hawk's

demurrer to Shulman's claim for constructive trust is OVERRULED.

q.

Concealment
of stolen property

Shulman's

claim for concealment of stolen property is a version of his claim for civil theft and is brought as an alternative claim for relief on the same facts as the civil theft claim.

Civil

theft or concealment of stolen property occurs where (1) property was stolen or obtained in a manner constituting theft; (2) defendant knew the property was so stolen or obtained; (3) defendant received or had possession of the stolen property. (Bell v. Feibush (2013) 212 Cal.App.4th 1041, 1049 [upholding civil liability under Penal Code section 496].)

The Court

incorporates its analysis of Shulman's claim for civil theft in subsection h, here.

Hawk's

demurrer to Shulman's claim for concealment of stolen property is OVERRULED.

r.

Remedies

Hawk

demurs to Shulman's claims for equitable lien, injunctive relief, and declaratory relief.

All three of

these claims are remedies attached to other causes of action. (Marlin v. Aimco Venezia, LLC (2d Dist. 2007) 154 Cal.App.4th 154, 162 ["An injunction is a remedy, not a cause of action."]; County of Los Angeles v. Construction Laborers Trust Funds for Southern California Admin. Co. (2006) 137 Cal.App.4th 410, 414, 416 [An equitable lien on plaintiff's property not in their possession is available on a showing that the plaintiff has a right to the property not in their possession based on a contract showing intent to charge property with a debt, estoppel, unjust enrichment, or other equitable considerations. "An equitable lien is a restitutionary remedy given by a court of equity."]; Southern Counties Gas Co. v. Ventura Pipeline Const. Co. (1971) Cal.App.3d 372 [declaratory relief is available as a remedy if the complaint states a claim for prospective harm].)

Pursuant

to the Court's analysis in subsections c-q, the FAC states claims that authorize injunctive relief (violation of the UCL), equitable lien (unjust enrichment); and declaratory relief (violation of the UCL, accounting).

Hawk's

demurrers to Shulman's claims for injunctive relief, equitable lien, and declaratory relief are OVERRULED.

s.

Uncertainty

Pursuant

to the above analysis, the FAC is not fatally uncertain.

t.

Leave
to amend

The Court

sustains Hawk's demurrer to Shulman's claims for breach of the covenant of good faith and fair dealing, fraudulent concealment, and negligent misrepresentation. The facts alleged in the FAC indicate that Shulman will likely be able to amend his complaint to add facts describing Hawk's intent and the alleged fraudulent statements and misrepresentations. Since the complaint lacks detail about Hawk's specific statements, including what was said and when, leave to amend is appropriate.

Conclusion

Hawk's

demurrer to Shulman's claims for breach of the implied covenant of good faith and fair dealing, fraudulent concealment, and negligent misrepresentation are sustained with leave to amend.

Hawk's

demurrer to Shulman's other fifteen claims are overruled.